

THE PLAN, IN FOUR NUMBERS

The Simple Version

BALANCE

\$20,000

RISK PER TRADE

1% = \$200

TRADES PER WEEK

5 - one each

REWARD

1:3 to 1:5

HOW TO READ EVERY NUMBER IN THIS DOCUMENT

1R = \$200. That is what you lose if a stop is hit, and it is the same on all five assets. A 1:3 winner pays 3R = \$600. A 1:5 winner pays 5R = \$1,000. Gold, oil, silver, bitcoin and the Dow - one trade each, once a week.

Week A - two stopped out, three winners

ASSET	RESULT	R MULTIPLE	PROFIT / LOSS
XAUUSD	Stopped out	-1R	-\$200
WTIUSD	Stopped out	-1R	-\$200
XAGUSD	Target hit 1:3	+3R	+\$600
BTCUSD	Target hit 1:3	+3R	+\$600
DJIUSD	Target hit 1:5	+5R	+\$1,000
TOTAL	5 trades	+9R	+\$1,800

WEEK A PROFIT

+\$1,800

+9R on the week, or +9% of the balance. Two losses cost \$400 between them; the three winners brought back \$2,200.

IF THE THIRD WINNER ALSO RUNS TO 1:5

Two of the three winners were named as 1:3 and 1:5, so the third is taken as a 1:3 here. If it reaches 1:5 instead, the week is **+11R = +\$2,200** rather than +9R.

SCENARIO TWO

Week B - stops moved to entry

Same five trades, same \$200 of risk on each. This time every position is moved to break-even once it goes your way, so four trades scratch out at entry for nothing instead of losing, and one runs all the way to 1:5.

ASSET	RESULT	R MULTIPLE	PROFIT / LOSS
XAUUSD	Stop moved to entry - scratched	+0R	\$0
WTIUSD	Stop moved to entry - scratched	+0R	\$0
XAGUSD	Stop moved to entry - scratched	+0R	\$0
BTCUSD	Stop moved to entry - scratched	+0R	\$0
DJIUSD	Target hit 1:5	+5R	+\$1,000
TOTAL	5 trades	+5R	+\$1,000

WEEK B PROFIT

+\$1,000

+5R on the week, or +5% of the balance - from a single winning trade out of five.

What moving the stop to entry is worth

MANAGEMENT	OUTCOME	R	RESULT
Stops left where they were	4 losses and 1 winner at 1:5	+1R	+\$200
Stops moved to entry	4 scratches and 1 winner at 1:5	+5R	+\$1,000
Difference	Same trades, same entries	+4R	+\$800

THE POINT OF WEEK B

Nothing about the trades changed - same entries, same stops, same targets. Only the management changed, and the week went from \$200 to \$1,000. The cost is that a trade which dips back to entry before running is now closed for nothing instead of eventually winning, so a real week lands somewhere between the two rows.

FOUR WEEKS

The Monthly Total

SCENARIO	PER WEEK	PER WEEK (\$)	PER MONTH	MONTH, FIXED SIZE	MONTH, COMPOUNDED
Week A repeated	+9R	+\$1,800	+36R	+\$7,200	+\$8,232
Week B repeated	+5R	+\$1,000	+20R	+\$4,000	+\$4,310

Fixed size keeps 1R at \$200 all month. **Compounded** recalculates 1% from the new balance each week, so the winners get bigger as the account grows. Four trading weeks to a month.

WEEK A - ONE MONTH

+\$7,200

Fixed sizing. Compounded weekly it is **+\$8,232**, taking the balance to \$28,232.

WEEK B - ONE MONTH

+\$4,000

Fixed sizing. Compounded weekly it is **+\$4,310**, taking the balance to \$24,310.

Twelve months, compounded

	WEEK A - BALANCE	GAIN	WEEK B - BALANCE	GAIN
Start	\$20,000	-	\$20,000	-
Month 1	\$28,232	+\$8,232	\$24,310	+\$4,310
Month 2	\$39,851	+\$19,851	\$29,549	+\$9,549
Month 3	\$56,253	+\$36,253	\$35,917	+\$15,917
Month 6	\$158,222	+\$138,222	\$64,502	+\$44,502
Month 9	\$445,025	+\$425,025	\$115,836	+\$95,836
Month 12	\$1,251,705	+\$1,231,705	\$208,025	+\$188,025

EVERY OUTCOME, NOT JUST THE GOOD ONES

Every Possible Week

Five trades means six possible weeks - nothing wins, through to everything wins. Here is all of them, under three ways of running the same trades.

WINNERS	LOSERS	ALL WINNERS AT 1:3	ALL WINNERS AT 1:5	1:3, STOPS MOVED TO ENTRY
0	5	-5R -\$1,000	-5R -\$1,000	+0R \$0
1	4	-1R -\$200	+1R +\$200	+3R +\$600
2	3	+3R +\$600	+7R +\$1,400	+6R +\$1,200
3	2	+7R +\$1,400	+13R +\$2,600	+9R +\$1,800
4	1	+11R +\$2,200	+19R +\$3,800	+12R +\$2,400
5	0	+15R +\$3,000	+25R +\$5,000	+15R +\$3,000

WHERE EACH COLUMN TURNS GREEN

At **1:3 with full stops** you need **2 winners out of 5** to make money. At **1:5** you need **1**. With **stops moved to entry** the worst week is flat rather than \$1,000 - you cannot lose a week, only fail to make one. That last column is the whole argument for moving the stop, and it is why Week B matters more than Week A.

The average week

The table above is what *can* happen. This is what it averages to over many weeks, for a given win rate - the number that actually determines whether the account grows.

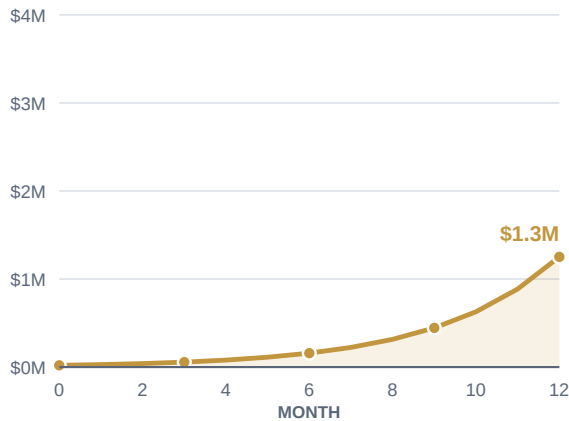
WIN RATE	WINNERS A WEEK	AVERAGE WEEK AT 1:3	AVERAGE WEEK AT 1:5
20%	1.0 of 5	-1.0R -\$200	+1.0R +\$200
30%	1.5 of 5	+1.0R +\$200	+4.0R +\$800
40%	2.0 of 5	+3.0R +\$600	+7.0R +\$1,400
50%	2.5 of 5	+5.0R +\$1,000	+10.0R +\$2,000
60%	3.0 of 5	+7.0R +\$1,400	+13.0R +\$2,600

A 1:3 plan breaks even at a 25% win rate and a 1:5 plan at 16.7%, which is why the ratio matters more than being right. Costs - spread, commission, financing - are not in these numbers and take roughly 0.05R to 0.15R off every trade.

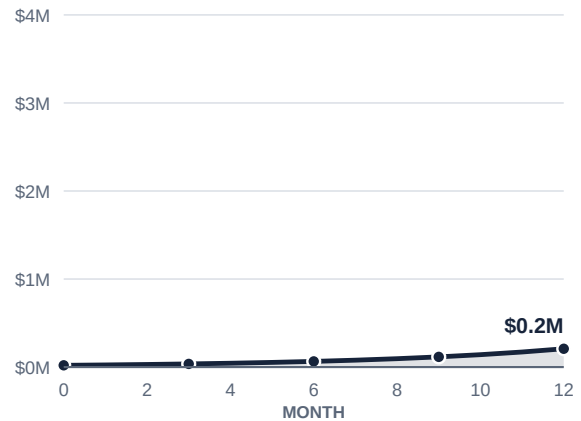
COMPOUNDED WEEKLY - HYPOTHETICAL ILLUSTRATION

Growth Over Twelve Months

WEEK A REPEATED - +9% a week



WEEK B REPEATED - +5% a week



Note the two vertical scales differ - Week A ends at \$1,251,705, Week B at \$208,025. Both curves are the same shape because both are the same arithmetic: a fixed weekly percentage, compounded.

READ THIS BEFORE YOU TRUST THE CHART

Every figure here is correct arithmetic and none of it is a forecast. The charts assume the same week repeats fifty-two times without a single losing one - no month where three assets chop sideways, no gap through a stop, no drawdown. **A 9% week is a very good week, not an average one.** Real results also lose spread, commission and financing on every trade. Treat these numbers as what the sequence is worth if it happens, not as what a year looks like.

IMPORTANT

This document is an educational illustration of a risk and position-sizing method. It is **not financial, investment or trading advice** and contains no recommendation to buy or sell any instrument. **Every figure in it is hypothetical.** None of it represents actual trades, actual results, or a projection of future performance - the returns shown are what the arithmetic produces if an assumed sequence of outcomes occurs, and no such sequence is being predicted or promised. Leveraged trading in commodities, indices and cryptocurrencies carries a high risk of rapid loss; on some accounts losses can exceed the amount deposited. Spread, commission and financing costs are excluded throughout and reduce every result shown. No method guarantees a profit, and losing weeks and months are a normal part of this one. Past performance does not indicate future results. Consider whether this approach is suitable for your circumstances and seek independent advice if you are unsure.

EVERY TRADE

\$200

Risk \$200. Aim for \$600 to \$1,000. Take five a week, one on each asset. Move the stop to entry once it is going your way. That is the entire system.